

conducts such an audit is called as Internal Auditor.

Internal auditor need not be a Chartered Accountant and need not possess the qualifications prescribed by the Companies Act. The appointment, scope of work, remuneration etc. of an internal auditor are determined by the management. The internal auditor works as a part of the employee and is remunerated in the form of salary by the management. Internal auditor works on a continuous basis verifies the transactions that takes place in a company and after examination submits a report to the management called as Internal Audit Report.

The term Management refers to the Chairman, Directors, Board of Directors, Chief Executive Officers (CEO) of the company.

3.3 Definition

- According to **Watter B. Meigs** "Internal auditing consists of a continuous critical review of financial and operating activities by a staff of auditor's function as full-time salaried employees"
- According to **The Institute of Internal Auditor's, USA**, "Internal auditing is an independent appraisal function established within an organization to examine and evaluate its activities as a service to the organization. It is a type of control which functions by measuring and evaluating the effectiveness of other types of control"

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